

FIRST INFORMATION REPORT

(Under Section 173 BNSS)

1. **District:** Lucknow **PS:** ACB Lucknow
Year: 2024
FIR No: RC0062024A0032 **Date:** 03/12/2024

2. **Acts & Sections:**

Acts	Sections	R/W Section
IPC	120-B	
IPC	420	
IPC	467	
IPC	468	
IPC	471	
IPC	477A	
PC Act-1988	13(2) r/w 13(1)(d)	

3. **Suspected offences:** Criminal Conspiracy, Forgery, Cheating, Criminal Misconduct

(a) **Occurrence of offence:**

Day: **Time Period:**
From Date: 2012 **To Date:** 2018

(b) **Information Received at PS:** ACB Lucknow

Date: 11/11/2024

(c) **General Diary Reference:**

Entry No.: 05
Date: 03/12/2024 **Time:** 10:50:08

4. **Type of Information:** Written

5. **Place of Occurrence:** Kanpur

(a) **Direction & distance from PS:** South west, 101KM

Beat No.:

(b) **Address:**

Plot No.: **Area:**
City: **Pin:**
State: Uttar Pradesh **District:** Kanpur Nagar

(c) **In case, outside the limit of this Police Station, then**

Name of PS: **District:**

6. **Complainant / Informant:**

Complainant 1

(a) **Name:** Mr. Durgesh Kumar Tiwari

(b) **Father's/Husband's Name:**

(c) **Date/Year of Birth:**

(d) **Nationality:** INDIAN

(e) **Passport:**

Passport No.	Date Of Issue	Place Of Issue
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(f) **Occupation:** Chief Manager

(g) **Address:**

Plot No	Area	City	State	District	Pin
Chief Manager, Punjab National Bank, Head Circle SASTRA Kanpur, O/o 59/29, Circle SASTRA, Birhana Road,		Kanpur	Uttar Pradesh	Kanpur Nagar	208001

7. **Details of known/suspected/unknown accused with full particulars:**

Accused 1**Name:** M/s Frost Infrastructure and Energy Pvt Ltd(1)**Address:****Accused 2****Name:** Mr.Uday Jayant Desai(2), **Father/Husband name:** J M Desai**Address:****Accused 3****Name:** Mr.Sunil Verma(3), **Father/Husband name:** Lal Chand Verma**Address:****Accused 4****Name:** Mr.Anoop Kumar Wadhera(4), **Father/Husband name:** Baldev Raj Wadhera**Address:****Accused 5****Name:** Unknown Private Person(s)**Address:****Accused 6****Name:** Unknown Public Servant(s)**Address:****8. Reasons for delay in reporting by the complainant/informant:**

No delay

9. Particulars of properties stolen:

Item Name	Age of Property	Estimated Value (in INR)
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10. Total value of property stolen:**11. Inquest Report/U.D. Case No., if any:****12. First information contents:**

A written complainat dated 11.11.2024 of Shri Durgesh Kumar Tiwari, Chief Manager, ,PNB, Kanpur, addressed to SP & Head of Branch, CBI, ACB, Lucknow has been received against (i) M/s Frost Infrastructure and Energy Limited having its registered office at 402-403, Kalpana Plaza, 24/147-B, Birhana Road, Kanpur, (ii) Mr. Uday Jayant Desai S/o Jayant M. Desai, Promoter/Director/Guarantor of M/s Frost Infrastructure and Energy Limited R/o S-279, Second Floor, Panchsheel Park, New Delhi – 110017, (iii) Mr. Sunil Verma S/o Lal Chand Verma, Promoter/Director/Guarantor of M/s Frost Infrastructure and Energy Limited R/o 3A/217 Azad Nagar, Kanpur Nagar U.P. 208022 (iv) Mr. Anoop Kumar Wadhera S/o Sri Baldev Raj Wadhera, Promoter/Director/Guarantor of M/s Frost Infrastructure and Energy Limited R/o – 9/1, Sarwpriya Vihar, New Delhi-110016 (v) Other unknown persons and (vi) unknown Public Servants alleging that the accused persons in pursuance of the criminal conspiracy among themselves have defrauded the bank by way of cheating, forgery of valuable security and using forged documents as genuine, falsification of accounts and criminal misconduct by unknown public servants and thereby caused wrongful gain to the tune of Rs. 31.60 crores to themselves and corresponding wrongful loss to PNB, Kanpur. Original complaint is attached herewith as part and parcel of this FIR.

Since the complaint prima facie discloses commission of cognizable offences by the accused persons, hence, a regular case is registered for offences as envisaged U/s 120-B, 420, 467, 468, 471, 477A of IPC and section 13(2) r/w 13(1)(d) of PC Act, 1988 against M/s Frost Infrastructure and Energy Limited, Promoter/Director/Guarantor of M/s Frost Infrastructure Energy Limited namely Mr. Uday Jayant Desai, Mr. Sunil Verma, Mr. Anoop kumar Wadhera, Other unknown persons and unknown Public Servants and case is entrusted to Sh. Ankur Tripathi, Inspector of Police, CBI, ACB, Lucknow for investigation.

13. Action taken : Since the above information reveals commission of offence(s) u/s as mentioned at Item No.2:**(1) Registered the case and took up the investigation:** Yes

OR

(2) Directed**Name of IO:** Ankur Tripathi**Rank:** INSPECTOR (ACB Lucknow)**No:** 160610**to take the investigation**

OR

(3) Refused investigation due to:

OR

(4) Transferred To PS:**District:**

on point of jurisdiction.

Attached documents:

Document name

Complaint dated 11.11.2024

FIR read over to the complainant/informant, admitted to be correctly recorded and a copy given to the complainant / informant, free of cost.

R.O.A.C.

14. Signature/Thumb Impression of the complainant/informant

Signature of Officer in-charge Police Station

Name: SHIVANI TEWARI

Rank: SUPDT. OF POLICE (ACB Lucknow)

15. Date and time of dispatch to the Court:



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Punjab National Bank

सस्ता अनुभाग, मण्डल कार्यालय: कानपुर नगर

SASTRA Department, Circle Office – KANPUR CITY

59/29, बिरहाना रोड, कानपुर/BIRHANA

ROAD, KANPUR

ई-मेल आईडी: cs8258@pnb.co.in

Date: 11.11.2024

To,
SP & Head of Branch,
Central Bureau of Investigation,
Anti Corruption Branch,
7, Nawal Kishor Road,
Hazratganj, Lucknow, 226001

Sir/ Madam,

SUB: REQUEST FOR REGISTERING FIR AGAINST THE ACCUSED (1) M/S FROST INFRASTRUCTURE AND ENERGY PVT. LTD. (2) MR SUNIL VERMA, DIRECTOR) M/S FROST INFRASTRUCTURE AND ENERGY PVT. LTD. (3) MR UDAY JAYANT DESAI, DIRECTOR M/S FROST INFRASTRUCTURE AND ENERGY PVT. LTD (4) MR ANOOP KUMAR WADHERA, DIRECTOR M/S FROST INFRASTRUCTURE AND ENERGY PVT. LTD. (5) OTHER UNKNOWN PERSONS (6) UNKNOWN PUBLIC SERVANTS FOR THE OFFENCE CRIMINAL BREACH OF TRUST, CRIMINAL MISAPPROPRIATION, CHEATING BY SIPHONING AND DIVERSION OF FUNDS AND THEREBY CAUSING WRONGFUL GAIN TO THEMSELVES AND WRONGFUL LOSS OF PUBLIC MONEY TO THE COMPLAINANT BANK TO THE TUNE OF RS. 31.60 CRORE, HENCE COMMITTED THE OFFENCE UNDER IPC ALONG WITH INTEREST WITH EFFECT FROM (DATE OF NPA) & OTHER EXPENSES.

1. The Complainant is Punjab National Bank, a body corporate constituted under the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970 having its Corporate Office at- Plot no. 4, Sector 10, Dwarka, New Delhi-110075 and amongst others a Branch Office at Agarwal Building The Mall Kanpur Nagar and Shri Durgesh Kumar Tiwari (Chief Manager), is The Principal Officer who is fully Authorised by the Bank and is competent to lodge/ present complaint, and being aware of the facts and circumstances of the case, sign/verify facts of the present complaint as under:

ACCUSED PERSONS:

- I. M/s Frost Infrastructure And Energy Ltd. having registered office at 402-403 Kalpana Plaza, 24/147-B, Birhana Road, Kanpur, Uttar Pradesh 208001 (CIN: U11100UP2009PLC038320; PAN: AABCF4238M)
- II. Shri Uday Jayant Desai s/o Jayant M Desai, R/o_ S-279, 2nd floor Panchsheel Park, New Delhi-110017_promoter/director/guarantor of M/S Frost Infrastructure And Energy Ltd. (PAN: ADZPD0907B) (DIN: 00039009) (Passport No.: Z2775352)
- III. Shri Sunil Verma S/o Lal Chand Verma R/O_3A/217, Azad Nagar, Kanpur- 208002, Promoter/Director/Guarantor of M/s Frost Infrastructure and Energy Ltd. (PAN: ABUPV8567G) (DIN: 00038861) (Passport No.: J6203637)



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IV- Shri Anoop Kumar Wadhera S/o Sri Baldev Raj Wadhera R/O 9/1, Sarwapriya Vihar New Delhi 110016 promoter Director – Guarantor of M/s Frost Infrastructure And Energy Ltd. (PAN: AABPW80226F) (DIN: 00335211) (Passport No.: J5285958)

V- Other unknown persons and Unknown Public Servants.

2. That the Punjab National Bank (erstwhile Oriental Bank of Commerce) had sanctioned Credit facility to the accused company namely M/S FROST INFRASTRUCTURE AND ENERGY LTD. having its registered address at 402-403 Kalpana Plaza, 24/147-B, Birhana Road Kanpur-208001. The company has been engaged in multi commodity trading business (Merchanting Trader). Merchanting Trader- Mainly in Agri Commodities, Cosmetic items, Electronic & Computer items, Kraft paper etc. having its registered office at 402, Kalpana Plaza, 24/147-B, Birhana Road, Kanpur – 208001 was incorporated on 25.09.2009 as a private limited company and is registered with Registrar of Companies, Kanpur. The business of the company is spread across the globe. As per the records available with the complainant Bank, following persons are the Directors of the borrower company:

- Sh. Sunil Verma S/O Lal Chand Verma, 3A/217, Azad Nagar Kanpur – 208002
- Sh. Uday J Desai, S/O Jayant M Desai S-279, 2nd Floor, Panchsheel Park, New Delhi - 110017
- Sh. Anoop Kumar Wadhera S/O Baldev Raj Wadhera, 9/1, Sarwapriya Vihar New Delhi - 110016

3. That the Punjab National Bank (erstwhile Oriental Bank of Commerce) had initially sanctioned FLC Limit of Rs. 75 crores on 13.01.2013 for trading of various Agri – commodities (maize, soya, Indian soya bean meal, wheat seed, rice) and other commodities like, cosmetic items, craft papers and electrical goods and gold silver etc. and a trader (import/export) of various commodities including multi-commodity trading business (merchandise trade).

4. The subject limit was renewed from time to time and on 29.11.2014, further facility in the shape of additional LC Limit of Rs.325.00 crore and forward contract limit of Rs.11.25 crore has been granted to the Company. Accused No. I to IV in order to avail FLC (Foreign Letter and additional LC Limit of Rs 325.00 Cr. and forward contract of Rs.11.25 crore, executed various loaning and security documents on various dates since 13.01.2013. The details are as under :

Date of Sanction	NFB	Sanction Authority
Initially sanctioned on 13.01.2013	Rs 75.00 Crore on 80% margin	MCB Ho New Delhi
On 25.11.2013	Rs 75.00 Crore on 80% margin Rs. 150.00 Crore on 90% margin	MCB Ho New Delhi
On 29.11.2014 renewed on 29.03.2016 and last sanction on 05.05.2017	Rs 75.00 Crore on 80% margin Rs. 150.00 Crore on 90% margin Rs. 100.00 Crore in 100% margin Forward contract limit of Rs 11.25 crore	MCB Ho New Delhi



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5. PRIMARY/ COLLATERAL SECURITY:

The aforementioned credit facilities were secured by the following securities:

(a) Primary Security:

NIL

- For FLC of Rs.75.00 crore, 80% of which was in the shape of unencumbered duly discharged FDR/CDR, and FLC of Rs.150.00 crore, 90% of which was in the shape of unencumbered duly discharged FDR/CDR, and FLC of Rs.100.00 crore, 100% of which was in the shape of unencumbered duly discharged FDR/CDR.

(b) Collateral Security:

No Immoveable Property Mortgaged.

Personal guarantee of:

- Shri Udai Jayant Desai
- Sunil Verma
- Anoop Kumar Wadhera

The accused borrowers had availed various credit facilities sanctioned to them and disbursed by the bank from time to time. Limit were sanction against 80% margin and 90% margin and 100% margin. However, the borrower had failed to adhere to the terms and conditions of the sanction. The Bank demanded 100% margin for issuance of fresh LC (**Letter of Credit**). However, The Borrower could not arrange 100% cash margin for opening of new LCs and cycle of LC opening got broken. LCs were due for payment and therefore LCs started devolving in the account as export proceeds were not realized and therefore account turned NPA on 07-08-2018 as per the extant guidelines of Reserve Bank of India. The outstanding amount in the account was Rs.28,03,98,607.50 (FLC Limit) + interest as on date of NPA i.e. 07.08.2018. Further One LC devolved after date of NPA and outstanding became Rs. 31,59,92,327.50 + interest from date of NPA

Details of LCs sanctioned to the borrower which subsequently devolved are as under:

Bill Id	Verify Date	Lodge Date	LC No.	Account Name	Curr ency	ACTLCR NCY	Bill Amount	Opr Act Bal (Db)	Dev Amount	Margin	Importing from Company
00273000 0260117	07.05.20 18	16.11.20 17	0027000 240117	FIEL	USD	3490160	226703343	28331714.50	28331714.50	80%	Fareast Distribution & Logistics PTE LTD
00273000 0270117	08.05.20 18	16.11.20 17	0027000 260117	FIEL	USD	4782350	310637544	94035183.50	65703469.00	80%	Fareast Distribution & Logistics PTE LTD
00273000 0290117	25.05.20 18	04.12.20 17	0027000 270117	FIEL	USD	3487376	224674199	142056265.50	48021082.00	80%	Fareast Distribution & Logistics PTE LTD
00273000 0010118	25.06.20 18	09.01.20 18	0027000 280117	FIEL	USD	7040736	447051532	205384345.50	63328080.00	80%	Fareast Distribution & Logistics PTE LTD
00273000 0040118	30.07.20 18	07.02.20 18	0027000 020118	FIEL	USD	2644500	168639765	-	-	90%	Fareast Distribution & Logistics PTE LTD



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00273000 0030118	30.07.20 18	07.02.20 18	0027000 010118	FIEL	USD	6521700	415888809	280412947.50	75028602.00	90%	Fareast Distribution & Logistics PTE LTD
00073000 2910118	28.08.20 18	13.03.20 18	0007000 660118	FIEL	USD	4284200		315992327.50	35579380.00	100%	Fareast Distribution & Logistics PTE LTD

6. Bank of India, Lead Bank in Frost Infrastructure & Energy Limited ("FIEL" or "company") on behalf of consortium Banks assigned the task of conducting Forensic Audit on M/s Frost Infrastructure & Energy Limited ("FIEL" or "company") to M/s Hari bhakti & Co. LLP on 18th April, 2018 for review period 01st April, 2012 to 31st March, 2018.

The forensic auditor has submitted its report on 05.12.2018. The observations of forensic auditor regarding M/s Frost infrastructure And Energy Pvt Ltd are as under: -

Potential diversion of funds through unsecured loans and advances:

During the review period i.e. FY 2012-13 to FY 2017-18, unsecured loans & advances were given to borrower through their directors without entering into any agreement, as such there is no clarity regarding tenure, rate of interest, indemnity. However, interest was not charged consistently during the review period. FIEL does not have/had any business/commercial relationship with most of borrower through directors. However, loans & advances were given to such borrower through directors without entering into any agreement or formal contract containing significant clauses such as interest rate, indemnity clause, purpose of loan, etc.

"Year-wise loans outstanding of top 10 parties" and Annexure for "Detailed list of loans and advances given to different parties" is as under:

Amount in Cr. outstanding as on 31st march 2018 of each year:

Sr. No	Name of Parties	2013	2014	2015	2016	2017	2018
1	Mohan Steels Ltd.	9.86	17.43	34.78	7.65	15.77	110.71
2	Olympic Oil Industries Ltd.	-0.49	24.31	6.59	-0.41	-	41.13
3	Frost International Ltd	38.58	48.52	49.58	25.47	33.71	33.57
4	Omkar Realtors Developers Pvt.Ltd.	6.00	21.00	28.43	28.43	28.43	28.43
5	Agros Impex India Pvt.Ltd.	22.85	27.26	22.60	26.98	29.39	23.74
6	AKA Logistics Pvt.Ltd.	-	29.30	30.73	31.62	19.56	17.06
7	Comet Overseas Pvt. Ltd.	2.93	25.57	-	0.77	17.97	15.07
8	Fisco Metals India	2.83	27.35	28.59	28.59	8.59	9.35



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9	Interlink Pvt. Ltd.	-	-	8.96	8.96	8.96	8.96
10	CR Projects	-	-	-	-	4.30	4.30

- On detailed review of loans outstanding, it is observed that company has given loan to parties which are directly/indirectly connected to FIEL.

Parties related to Frost Infrastructure & Energy Ltd:

Sr. No	Name of Party	Amount O/s as on 31st Mar 18	Name of Common Person	Remarks
1	Mohan Steels Ltd.	110.71	Mr. Uday Desai and Sunil Verma	Director in FIL and Mohan Steel
2	Olympic Oil Industries Ltd.	41.13	Common Management	Group Company
3	Frost International Ltd	33.57	Common Management	Group Company
4	Agros Impex India Pvt.Ltd.	23.74	Mr. Saral Verma	Director in Globiz Exim related party of FIEL
5	Fisco Metals India Pvt.Ltd.	9.35	Mr. Nipun Verma	Director in Olympic Oil related party of FIEL
6	Globiz Exim Pvt. Ltd.	2.00	Common Management	Group Company
7	J.U.D.Trading	1.00	Mr. Uday Desai - Ex Director	Group Company
8	FTA HSRP Solutions Pvt.Ltd.	0.42	Common Management	Group Company

Also, during the review period done by Forensic Auditor, unsecured loans amounting to Rs. 283.01 crore was taken from 16 parties at different point in time. As on 31 March 2018, unsecured loans amounting to Rs. 22.93 Crore are yet to be repaid by Frost Infrastructure and Energy Ltd to 8 parties. Frost Infrastructure and Energy Ltd., has not entered into any agreement with the parties for obtaining unsecured loans. As such it is concluded that there was potential diversion of funds by providing loans to non-business-related parties and thereby misappropriation of funds.

Review of Merchanting Trade (MT) transactions:

Mismatch with export data and ship movement details.

(excerpt from the report of forensic audit enclosed)

Based on export data obtained, it was observed by the Forensic Auditor that during January, 2018:

- Export from China to African countries (HSN Code 84718000 – laptop/computer parts and computer products) amounting to USD 1.77 lac as compared to USD 138.73 lac reported in the books of FIEL.
- On review of vessel movement details, mismatch was observed in 12 MT transactions. This mismatch was with respect to either port of loading / discharge or date mismatch in vessel movement data while comparing BL date with port calls report



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- Some of the parties are having similar format of contracts, pattern of contract number, contract content, addresses and invoice format.
- Common signatures on invoices and agreements for different parties.
- 66 cases of MT purchases wherein own documents are having Bill of lading date before purchase contract date.
- Same product description on the sale and purchase documents.
- Absence of details related to make of product, quality of product in invoice and contract.
- Irrelevant governing law clause mentioned in contract.
- Mismatch in business profile of vendors/customers.
- Common contract number was observed for different parties namely "Bat Universal Pte Limited and Frost Global Pte Limited & Bright way Holdings International Ltd and RBA Venture Limited."

During review of transactions FA observed that documents related to movement of goods like transporters challan/LR, weighing slips etc were not available and details and records for inward and outward movement of goods involved in local trade transactions were not available.

FA also observed that price analysis to assess whether preferential pricing offered to FIEL by its vendors or was offered by FIEL to any of its customers. The FA observed variations in purchase price and sale price on the same day/different day and in case of other trades, variation in purchase price also found. Excess cost incurred during procurement of different rate and potential loss created due to sale of same product at different rate amount.

As such it was found that adequate documentation for movement of goods and stock records for inward & outward movement of trading items is not available.

7. Based on the above observations and findings of the Forensic Report which establish Misappropriation and Criminal Breach of Trust on account of diversion of funds through unsecured loans & advances, the Bank has already declared the account as fraud on 15.03.2024. It may also be noted that account has been declared as fraud after giving an opportunity of hearing to the borrowers/ guarantors as directed by Hon'ble Supreme Court in Civil Appeal No. 7300/2022 titles "Rajesh Agarwal V SBI" dated 27.03.2023. However, reply of borrower/ guarantor was not found satisfactory and hence account was declared as fraud and also reported to Reserve Bank of India.

The Details of Declaration as Fraud by our bank is as under: -

Name of the Account	Date of Detection	Date of Reporting to RBI	Fraud Amount 31.12.2023
M/s Frost Infrastructure & Energy Ltd.	15.03.2024	16.03.2024	Rs.31.60 Cr.

9. Our Bank has examined the Staff Accountability based on the facts available with the Bank, there was no lapse found on the part of any staff member.

10. Demand notices were issued on 19.03.2018, 04.04.2018, 25.04.2018, & 09.05.2018. Recall notice has been issued on 03.07.2018 for Rs.31.60 Cr plus interest and misc. expenses,



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pending before Debt Recovery Tribunal, Allahabad since 27-07-2019 for Rs.36.7 Cr. vide OA/1080/2019, next date in the matter is fixed on 09.09.2024 for arguments. As on 30.06.2024 present outstanding in the account number 00271131001246 is Rs.73,89,76,346.10 Dr. including interest.

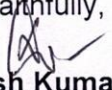
11. Roles of CA, Statutory auditors, Stock auditors Empanelled valuers etc. may please be investigated separately.
12. All the original documents in the matter pertaining to account are available with our Branch Office: The Mall Kanpur (002710) of the Bank and will be made available to your esteemed office during investigation or as and when call upon by your office.
13. The borrower company perpetrated the fraud on the bank by frequently indulging in accommodatory transactions, diversion of funds and by submitting self-House Generated Bill of Ladings generated by a Forwarder Company (having no mention of any address, contact etc.) at different address i.e. other than from loading port, some Commercial Invoices which are of later date in comparison to shipping dates. The genuineness of such bill of ladings/ commercial invoices could not be verified. Most of the transaction of the company is with limited number of Buyers and sellers.

The above accused persons and firms have cheated and thereby dishonestly induced the bank for sanction/ disbursement of loan by making false representations and by submitting documents which are false/fabricated thereby cheating the bank.

That the accused persons knew from the beginning that the aforesaid financial documents as mentioned above were false and fabricated and all the accused persons dishonestly induced and cheated the bank to collect the payment believing the same to be genuine instrument knowing well that the same were not genuine and good for payment. The accused have committed various offences including that of Criminal Breach of trust, criminal misappropriation and cheating by way of diversion of fund. The accused intended to cheat/defraud the Bank since inception, which is clearly evidenced by the facts narrated in the complaint

In light of above, it has transpired that the above-named accused persons in connivance and in furtherance of criminal conspiracy with one another and others have caused wrongful gain to themselves and wrongful loss to the Banks to the tune of Rs. 31.60 Cr. plus further interest due from the date of NPA. Since public funds have been siphoned off and diverted by committing a fraud upon the Bank, we request you to take bank's complaint on record and lodge an FIR against the said accused persons for the offence of Criminal Breach of Trust, Criminal Misappropriation & Cheating by Diversion of funds & investigate the matter and take further steps against the accused persons & Other unknown persons, and take appropriate action to punish them in accordance with law.

Yours faithfully,


Durgesh Kumar Tiwari
(Chief Manager)

Head - Circle SASTRA Kanpur
59/29, Circle SASTRA, Birhana Road,